DIAC Case No. 240007

IN THE MATTER OF AN ARBITRATION
UNDER THE DIAC RULES 2022

BETWEEN

(1) PACIFIC REAL ESTATE DEVELOPMENT LLC
(2) ALTURFAH BUILDING CONTRACTING LLC
(3) MR AYAD HASSAN ALI MOHAMED ALHABSHI

(Claimants)

AND

(1) BALQIS RESIDENCE FZE
(2) IFA HOTELS & RESORTS FZE

(Respondents)

RESPONDENTS' OPENING

A. INTRODUCTION

1. This crux of this dispute lies in the proper implementation of the parties' agreement pursuant to which this arbitration is brought, namely the Earn-Out Agreement ("**EOA**"). {D5}

2. The Claimants have rightly accepted that as a matter of law the parties' agreement is paramount.

3. The Claimants' own Legal Authorities submission of 5 February 2026 indicates that the parties ought to be held to their bargain. The Claimants themselves rely on <u>URE Energy Ltd</u> in noting that the courts will:

> *respect that commercial allocation of risk and will not re-write it ex post ... in place of the agreed formula ... the EOA and related provisions operate ... as a contractual mechanism for capturing the economic value of the Claimant's development input ... integral to the parties' original bargain and as a legitimate measure of loss (and/or liquidated damages)...* {B5-6}

4. However, despite the above express acceptance, the claims variously asserted by Claimants in their pleadings and evidence nonetheless range widely into over-inflated claims that are not only without any evidential support, but disregard the terms of the EOA and are not within the scope of the arbitrator's jurisdiction arising out of the EOA.

5. The EOA includes clear terms regarding the termination thereof, <u>whether valid or otherwise</u>, at clauses 3.4-3.6 thereof: {D5-5}

> *<u>Clause 3.4</u>:*
>
> *In the event that the Design and Build Contract is terminated following issue of a notice of termination by Balqis under Clause 15.2* [of the Design and Build Contract] *thereof <u>Balqis shall be entitled to terminate this Earn-Out Agreement immediately upon written notice to PRED</u> and the sole liability of Balqis to PRED (whether under this Earn-Out Agreement or otherwise at law) shall be for the amount due as calculated in accordance with Clause 3.5 of this Earn-Out Agreement.*

Clause 3.5:

Upon a termination of this Earn-Out Agreement under Clause 3.4 the amount of the Earned Value and the Value of Variations (if any) less any Construction Contract Deductions shall be calculated and the amount due after the application of Clause 15.4 of the Design and Build Contract shall be payable to PRED from the proceeds of the sale of the Project on whichever is the later of (a) receipt of sufficient sale proceeds and (b) calculation of the final balance due under Clause 15.4 of the Construction Contract.

Clause 3.6:

If the Design and Build Contract is terminated for any reason other than as provided in Clause 3.4 including but not limited to a force majeure event, PRED shall be entitled to the amount due as calculated in accordance with this Clause 3.6 calculated on the aggregate of (i) the Earned Value; and (ii) the Value of Variations (if any) less any Design and Build Contract Deductions; and (iii) a share of any profit based on the net sale price of the Project, which shall be paid to PRED from proceeds received by Balgis from the sale of the Project. In relation to (i) and (ii) PRED shall account to Turfa without any liability to Balqis in relation to same.

Clause 3.7

The profits referred to above shall be calculated by deducting from the net sale proceeds of the Project (i) the deemed existing value of the Project of AED150 million as per clause 2.1(a) and (ii) the Total Project Costs. The share of such profits due to PRED will be the share of the profits which PRED would otherwise have been entitled to had Turfa completed the works multiplied by the percentage of works completed by Turfa at the time the Construction Contract was determined, such percentage to be calculated as follows: …

[Emphases added.]

6. Accordingly, this Opening submission focusses on the proper analysis of the position under the EOA – namely (i) whether the proper Award is to be made under Clauses 3.4-3.5 {D5-5} or Clauses 3.6-3.7 {D5-5} thereof, and, (ii) what the resulting calculation is under the clauses found to be applicable.

7. The Respondents comment briefly in this Opening on the larger claims floated by the Claimants. This can be expanded upon to the extent that such (barely arguable) claims are in fact seriously pursued by the Claimants in their Opening. However, they are, in reality, nothing more than a distraction from the real issues as described above.

8. As the Tribunal will be aware, the Respondents rely on evidence from the following factual witnesses: Mr Khaled Esbaitah, and Mr Hubert Viriot, whose statements can be found at {C3} (first) {C6} (second) and {C2} (first) {C5} (second), respectively.

9. The Respondents' expert evidence is from Mr Mark Phillips in relation to architectural issues ({D53} (first report) and {D95} (second report)), Eng. Dr Kamal Adnan Malas ({D41} (first report} and {D94} (second report)) in relation to engineering and Messrs Daniel Thorpe and Philip Duggan {D118}, in relation to forensic accounting and quantum issues.

10. The Tribunal will be considerably assisted in the present case by the level of agreement between the experts. Indeed, in addition to the parties' Opening submissions, the Respondents respectfully suggest that a sensible focus for the Tribunal's review in advance of the hearing would be the expert Joint Statements at {D144} (architectural) and {D147} (forensic accounting, quantum, engineering and project development), in addition to the parties' factual witness statements. {C1} to {C6}

B. VALIDITY OF BALQIS' TERMINATION OF THE EOA

11. The central liability issue that falls to the Sole Arbitrator to resolve is whether Balqis' termination of the EOA is such that the parties are in the realm of Clauses 3.4-3.5 (namely a valid termination) {D5-5} or Clauses 3.6-3.7 (namely an invalid termination). {D5-5}

12. In other words, is the Tribunal required to calculate the financial position between the parties based on the requirements of Clauses 3.4-3.5, or Clauses 3.6-3.7.

13. The Respondents' primary position is as follows:

    13.1. This arbitration is brought under the EOA alone.

    13.2. The Tribunal has jurisdiction to determine matters pursuant to the EOA for which he has been properly appointed.

    13.3. The Tribunal does not have jurisdiction in this arbitration to determine issues which arise from the Design and Build Contract ("**DBC**") {D6} alone and, in particular, that Balqis' notice of termination under Clause 15.2 of the DBC {D6-78} was not validly given.

    13.4. Accordingly, on a proper interpretation of Clause 3.4 of the EOA {D5-5}, the Tribunal is bound to determine that Clause 3.4 of the EOA applies and that the DBC has been terminated following issue of a notice of termination by Balqis under clause 15.2 thereof on 17 January 2018 ("**Notice of Termination**"). {D3}

    13.5. Such a notice has, *prima facie*, been given; no competent tribunal has found (and this Tribunal does not have jurisdiction to determine) the Notice of Termination not to have been validly given.

    13.6. As such it is for the Tribunal to conduct the calculation exercise required by Clauses 3.4-3.5. {D5-5}

14. The Respondents' alternative position set out below as to the validity of the Notice of Termination under Clause 15.2 of the DBC {D6-78} is advanced without prejudice to the above primary position as to the scope of the Tribunal's jurisdiction.

15. Under the Respondents' alternative position, the Respondents invite the Tribunal to investigate the position under the DBC and conclude that the Notice of Termination by Balqis under Clause 15.2 {D6-78} thereof on 17 January 2018 {D3} was validly given.

16. In the above circumstances, the Tribunal would again find that Balqis was entitled to terminate the EOA under Clauses 3.4-3.5 thereof, and conduct the calculation exercise required by those clauses.

17. The following Sections of this Opening therefore consider the three principal limbs relied on by Balqis by way of its 4 January 2018 Notice to Correct ("**Notice to Correct**") {D2} namely:

    17.1. Section C (page 10): The Claimants' Failure to Comply with their Obligations Regarding Consultants and Employees

    17.2. Section D (page 18): The Claimants' Failure to Comply with their Obligations Regarding Design Compliance and Completion

    17.3. Section E (page 27): The Claimants' Failure to Comply with their Obligations Regarding Funding

18. In order to establish the validity of the termination, the Respondents need only establish that any one of these three principal grounds for termination was valid – though of course the Respondents contend the Tribunal will be bound to conclude that all three grounds for termination were validly raised.

19. The relevant termination mechanism under the DBC can be found at Clauses 15.1 and 15.2 {D6-78} thereof. The Tribunal is again assisted by the fact that almost identical provisions were recently considered by the English High Court in the Obrascon Huarte Lain SA v Her Majesty's Attorney General for Gibraltar case. {F11}

20. The following passages from the above leading authority led to the conclusion that in order to validly operate the 'Notice to Correct' termination mechanism under Clause 15.1, Balqis can rely on the Contractor's failure to carry out any obligation under the Contract:

322. OHL through Counsel argues that, where "a contract contains a provision such as clause 15.2 which entitles an employer to terminate by reason of a failure to remedy a breach of contract which has been the subject of a clause 15.1 notice (or to terminate by reason of a breach of contract such as one of those of the type identified in clause 15.2(b) and (c)) the breach of contract that is relied upon must be serious and one which is analogous to a repudiatory breach of contract" (see Counsel's Opening Submissions – Page 142). Reference is made to the Hudson quotation above, the Antaios decision where "the House of Lords held that arbitrators were plainly right to have decided that a clause in a charterparty that provided that the owners were entitled to withdraw "on any breach" only gave a right to withdraw where there was a repudiatory breach", Rice (t/a The Garden Guardian) v Great Yarmouth Borough Council [2003] TCLR 1 where "a contract for the provision of leisure management and maintenance services contained a clause that entitled the Council to terminate if the contractor committed "a breach of contract" and the Court of Appeal held that a right of termination was limited to repudiatory breaches and Dominion Corporate Trustees Ltd v Debenhams Properties Ltd [2010] EWHC 1193 (Ch) (where "an agreement for a lease provided that either party should be entitled to terminate if "either party shall in any respect fail to observe or perform any of the provisions of this agreement" Kitchen J, applying the Antaios (supra) and Rice v Great Yarmouth (supra) decisions above, held that the right to terminate was limited to termination "in the event that the failure to perform amounted to a repudiatory breach of contract".

323. In my judgment, this is putting the point too high at least as a general proposition for a number of reasons:

(a) One needs to consider each contract, whether it is a lease, leasehold development, construction or other commercial contract, on its own terms. For instance, if the termination clause allowed for termination "for any breach of contract no matter how minor", the meaning is clear and would not require some repudiatory breach.

(b) Most of these cases did not involve contracts like the Contract in this case which gives a list of grounds on which termination can take place which includes one

which is not unlike the test for English common law repudiation, namely Clause 15.2 (b) (where the Contractor "plainly demonstrates the intention not to continue performance of his obligations under the Contract"). This ground can be and is contractually distinguished from the other grounds, such as Clause 15.2(c) (i) (failure "to proceed with the Works in accordance with Clause 8", that is in effect often a failure to proceed with "due expedition and without delay"). One can ask rhetorically: why have the ground of the "intention not to continue performance of [contractual] obligations" as well as failure to proceed with due expedition and without delay unless they are or at least can be two separate grounds?

(c) The cases relied upon by OHL in this context had a relatively simple right to terminate (for a, or any, breach). The Contract here at least for the Clause 15.2(a) basis (failure "to comply…with a notice under Sub-Clause 15.1") had a warning mechanism whereby termination could be avoided by the Contractor's compliance with the Clause 15.1 notice. In that sense, the Contractor is given the chance to avoid termination whilst the simple termination for any breach can come out of the blue. Commercial parties would sensibly understand that this contractual chance is a warning as well to the Contractor and the remedy is in its hands in that sense.

(d) I can accept that the editors of Hudson have properly set out the correct proposition that determination clauses such as this one will generally be construed as permitting termination for significant or substantial breaches as opposed to trivial, insignificant or insubstantial ones. That accords with commercial common sense.

…

325. The fact that liquidated damages is permitted for the failure by the Contractor to complete on time does not qualify the right to terminate under Clause 15.2 for failure to proceed with due expedition and without delay. The parties must be taken to have known that these were both remedies, albeit on its proper construction minor or insignificant breaches of the progress obligations would not justify termination under Clause 15.

[Emphases added.]

21. The Claimants are wrong to contend, as they do in commenting on the Rice v Great Yarmouth case, that the Tribunal must ask in the present case "*whether the Claimant's performance … deprived the Respondents of substantially the whole benefit of the bargain*". {B5-7}

22. There can be no suggestion in the present case that the breaches relied on by the Respondents were trivial, insignificant or insubstantial. As such, in circumstances where the clause of the DBC relied on by the Respondents incorporates a warning mechanism, and given that different limbs of Clause 15.2 (namely sub-paragraphs (a)(iii) and (viii)) {D6-78} provide for termination in situations where the Contractor demonstrates an intention not to continue the performance of his obligations or is in material breach, it is directly in line with the Obrascon case for the Tribunal to find that the termination mechanism under Clause 15.1 {D6-78} is one that applied to any obligation under the DBC.

23. In their Legal Authorities submission of 5 February 2026 the Claimants further relied on the Hexagon Holdings case {B5-4} in an effort to (wrongly) raise the bar that the Respondents have to surmount. However, this case is not relevant: it addresses the statutory provisions of DIFC Contract Law that draw a distinction between fundamental and non-fundamental breaches, and that require a notice of termination to be given within a reasonable period of time. These are not matters that arise based on the wording of the parties' agreements in the present case.

24. The Mid Essex case {B5-7} relied on by the Claimants is similarly irrelevant: this concerns the interpretation of an express contractual provision relating to 'material' breach. There is no such wording in the parties' agreements in the present case.

C. THE CLAIMANTS' FAILURE TO COMPLY WITH THEIR OBLIGATIONS REGARDING CONSULTANTS AND EMPLOYEES

The relevant obligations

25. The parties' agreements required, *inter alia*:

25.1. The Second Claimant to have the expertise, licences, permissions, consents and resources to complete the project (DBC, Recital B {D6-3} and Clause 1.16(a)-(b)); {D6-20}

25.2. The Second Claimant, and any person performing any part of the Works, to be registered and licensed (DBC, Clause 1.17); {D6-21}

25.3. The Second Claimant not to subcontract the whole of the Works, and only to subcontract work with the prior written consent of the Respondents – for which purpose particulars of experience, proposed terms and other information that may be requested in relation to the subcontract or subconsultant should be provided (DBC, Clauses 4.4(a)-(b)); {D6-28}

25.4. Design Documentation to be prepared by employees or subcontractors with appropriate professional qualifications and requisite professional licences and registration required by Law and any Authority (DBC, Clause 5.3); {D6-42} and

25.5. The Second Claimant's Personnel to be appropriately qualified, skilled and experienced in their respective trades or occupations (DBC, Clause 6.9). {D6-49}

Breach of obligation(s)

26. It is clear from the matters set out below that the Second Claimant failed to comply with its relevant obligations, and had this repeatedly drawn to its attention by the Respondents but nonetheless failed to remedy the same.

27. An e-mail from Mr Castela to Mr Pannell dated 9 March 2016 {E23} records a discussion with the Third Claimant concerning the additional consultants that would be required.

28. Mr Castela wrote in the following terms to the Third Claimant on 14 March 2016: {E28}

Please find attached list of third party structural engineers from Trakhees, Structural Third Party Certification is a pre requisite to obtaining the BP and takes time so I suggest you select and engage a consultant early in order not to delay the issuing of the BP.

29. The Third Claimant responded as follows on the same date: {E28}

Sure. As soon as the architectural drawings are ready we will complete our structural (and MEP) calculations and drawings by the same engineer who designed and executed the complete Heritage Place's structure with the structural solution shifting all columns and increase number of units.

30. By an e-mail dated 26 May 2016 the Third Claimant wrote claiming that "*Structural and MEP designs and calculations are ready*". {D34}

31. There can be no doubt in the above circumstances that the Claimants were obliged to have provided the registrations and licences from, at the very least, the architectural, structural and MEP consultants – the Claimants had expressly indicated that such consultants had been engaged and were producing design documentation.

32. By e-mail dated 5 June 2016 Mr Castela wrote to the Third Claimant noting, *inter alia*, that "*all consultants that you bring on board for the Yotel project must be vetoed by IFA and Yotel fist* [sic]*, so we need to see company profiles, past experience, team members CVs, etc. and we must interview them in person before any work is done*." {D7}

33. By e-mail dated 8 June 2016 Mr Castela requested details from the Third Claimant of his "*consultant's company registration / trade license and Professional Indemnity insurance*." {E49}

34. The Respondents' 28 June 2016 letter addressing their concerns (to which no response was received) noted as follows in relation to the consultants used by the Claimants: {E59}

The consultants you are currently using are mostly unknown to IFA and Yotel and do not seem to be up to the task for a project of this kind;

…

Let me be very clear both IFA and Yotel are extremely uncomfortable with the … consultants you are currently using to date

…

5. IFA and Yotel want to meet, interview and have the right to veto all consultants that will work on this project before any work starts. You will need to arrange for each consultant to do a presentation to IFA and Yotel to present their credentials, team and past project experience. We want so see for each consultant the following documents:

a. Company Profile;

b. Company Registration/ License;

c. Professional Indemnity Insurance;

d. Team Structure and CVs for each team member;

e. List of completed projects that are relevant to the Yotel project;

6. No consultant is be hired by you unless it is in writing first approved by IFA and Yotel. No consultant is to work on this project without a consultancy agreement in place for which IFA must be provided with a copy. Points 5 and 6 also apply to your construction team and sub-contractors / suppliers.

7. Both IFA and Yotel have the right to veto and nominate any consultant for this project, you need to hereby engage the services of POI and Desert Ink as previously requested they being two nominated consultants.

35. Notably, and by way of concession and acceptance that the matters sought by way of the above letter were reasonably required, the Claimants plead at paragraph 37 of the Reply that the "*matters raised* [in the above letter] *had been resolved by the parties by December 2016"*. {B4-13} In fact, as set out below, the said matters had <u>not</u> been resolved by December 2016, nor January 2018.

36. By e-mail dated 14 July 2016, Mr Castela wrote to the Third Claimant following up on a prior request (on 11 July 2016) to meet and interview consultants, and to be provided

with their licences and professional indemnity insurances, and proposed terms of appointment. {E67}

37. On 14 September 2016 Mr Castela wrote to the Third Claimant stating: "*Consultants – even though you have promised us many times to do so, we still haven't seen the credentials for the 5 main consultants you will use on this project – Architecture, Structure, MEP, Landscaping, Interior Design, - nor have we seen any agreements with these consultants*". {E75}

38. On 17 September 2016 Mr Palmer wrote to the Third Claimant stating: {E80}

> *Ps This is not my business but how are you progressing with the consultants. My understanding is that you wish to appoint your choice of consultants but on the basis that you will lay down their credentials; including exeperience* [sic] *in this type of project, and the names of the key personnel* [sic] *who will be involved. Antonio also need to be assured that those firms appointed have proper pI (sic) cover etc. Let me know if you want any guidance on this issue.*

39. The Third Claimant's 26 September 2016 e-mail recognised the need for consultants to be properly licensed: {E83}

> *All of consultants' and subcontractors' designs, calculations, drawings, materials used are tested, licensed, approved and supervised by the government departments especially for hotels including Nakheel, Trakhees, DTCM, Dubai Municipality, DEWA, DCD, RTA, Empower, Du, Dubai Police and DCA.*

40. On 20 November 2016 the Third Claimant wrote noting that the structural design had been completed by "*Mohammed Chasib and his team*" – alongside the architectural, MEP, ID and landscaping design. {E91} Once again, there can be no doubt that the Second Claimant was therefore obliged to have complied with the obligations set out at paragraph 25, above, in relation to such consultants. This is consistent with the Claimants' position that it set itself the task of establishing by way of its Statement of Case:

    40.1. At paragraph 5.1(b) the Claimants alleged that they had coordinated with "*a team of qualified consultants duly registered with key regulatory authorities*".

40.2. The Claimants conclude the Statement of Case by seeking to prove the following, by way of justification of its position in relation to termination:

> *All consultants and subcontractors engaged by the Claimant were duly registered with Trakhees and compliant with applicable Dubai regulations. The lead structural engineer, in particular, was a recognised industry professional with a proven record in delivering major projects in the UAE.*

41. The Respondents' 4 January 2018 letter {D2} (to which no formal or substantive response was received) stated that:

41.1. Turfa had selected incompetent subcontractors, consultants, employees and others (as may be relevant) without Balqis' approval under the Contract.

41.2. These subcontractors, consultants, employees and others (as may be relevant) lacked the required experience and skill-set to be involved in the Project in accordance with *inter alia*, Clause 4.4(a) of the DBC. {D6-28}

41.3. Turfa had not provided Balqis with adequate information in respect of the subcontractors, consultants, employees and others (as may be relevant) on the Project.

41.4. Turfa had not provided this requisite information about the subcontractors, consultants, employees and others (as may be relevant) involved in the Works.

41.5. Given that the requisite information had not been provided, Balqis reasonably considered that the incompetent subcontractors, consultants, employees and others (as may be relevant) may not have the mandatory professional licenses and registration required by law and authority in accordance with, *inter alia*, Clause 5.3(a)(ii) of the DBC. {D6-42}

42. Significantly, at paragraph 26.2 of the Reply {B4-8}, and in support of the claim that the Claimants "*engaged qualified consultants to deliver the Project design, and these consultants were also approved and appointed by the Respondents*", the Claimants <u>rely solely on reference to the appointment of AAEC by Balqis</u>:

42.1. This amounts to a concession that the Claimants <u>did not</u> comply with their obligations in relation to their other consultants.

42.2. It is also consistent with the Claimants' response to the Respondents' request for the Claimants to produce the following documents: {A2-46}

> *All copies and/or evidence of:*
>
> *(a) relevant qualifications and licences and registration certificates of each consultant used by the Claimants for the Project;*
>
> *(b) the documentation in (a) above having been provided to the Respondents; and*
>
> *(c) documentation evidencing the Claimants' consultants having been allegedly previously accepted by IFA and Yotel and/or approved by the Respondents.*

42.3. The Claimants contended that they had "*already produced Annexure C-28: Appointment Letter of Al Anfal by Balqis dated 12 April 2016, which was the only required consultant at time of the PDA as per the Design and Build Contract*." {A2-46}

42.4. In fact, as explained earlier in this Section of the Opening, the Claimants were obliged to engage, and had engaged, other consultants, but had failed to produce to the Respondents evidence of their qualifications, licences and registration certificates.

42.5. In line with the matters set out in this paragraph, the Claimants have effectively admitted by way of their document production response, and Reply, that they failed to comply with their obligations in this regard.

43. The Claimants similarly indicate at paragraph 31.6 of the Reply that "*Further formalities were to follow once design approvals were secured and construction commenced. As the Project had not reached that stage at the time of termination, these processes remained pending*": {B4-10}

43.1. This is again a significant concession on the part of the Claimants.

43.2. It is apparent from the correspondence referenced earlier in this Section of the Opening that the Claimants had numerous consultants working on the project in relation to whom the Claimants had failed to comply with the contractual requirements – in the face of the Respondents' repeated requests for the Claimants to do so.

44. The Claimants' failure to comply with their contractual obligations is again apparent from paragraph 31.7 of the Reply. {B4-11} The Claimants' suggestion that necessary licences, bonds and insurances are 'typically' obtained after the preliminary design stage is not correct. However, irrespective of what may or may not typically occur, there is no basis in the obligations set out in the DBC for any such distinction; once again, this supposed excuse simply serves to highlight the Claimants' admitted failure to have complied with their underlying obligations.

45. Paragraph 31.8 of the Reply {B4-11} represents a yet further admission on the part of the Claimants. The suggestion that the Claimants only engaged AAEC, and that there was "*no statutory or contractual obligation to engage additional consultants at the preliminary design stage*" (see also paragraphs 40.3-4 of the Reply {B4-16} to similar effect) is in direct conflict with the exchanges set out above which evidence the Claimants' engagement of other consultants.

46. Further or alternatively, the Claimants themselves, and AAEC itself, were not properly registered and licensed. The Claimants did not produce documents evidencing registration and licensing during the project itself, and such documentation as has been subsequently produced does not evidence registration and licensing throughout the period from entry into the parties' agreements through to termination; in particular, in relation to:

46.1. The First Claimant, there is a licence that expired on 30 July 2016 {E68}, but no evidence of licencing thereafter through to termination;

46.2. The Second Claimant, there is a licence that expired on 16 November 2016 {E90}, but no evidence of licencing thereafter through to termination;

46.3. AAEC, there is a licence that expired on 6 June 2016 {E45}, but no evidence of licencing thereafter through to termination.

D. THE CLAIMANTS' FAILURE TO COMPLY WITH THEIR OBLIGATIONS REGARDING DESIGN COMPLIANCE AND COMPLETION

The relevant obligations

47. The parties' agreements required, *inter alia*:

    47.1. The commencement of mobilisation on site as soon as possible after agreement (EOA, para. 3.1); {D5-4}

    47.2. Turfa to design the whole of the Works, including such that when completed they shall be 'Fit For Purpose' (DBC, Clause 4.1 {D6-25}; see also Clause 17.5). {D6-83}

48. Further, in accordance with Schedule 9 of the DBC {E143}, completion of the whole project was to take place within 18 months, with mobilization to occur within 30 days.

Breach of obligation(s)

49. An e-mail from Mr Castela to Mr Pannell dated 9 March 2016 records that in a discussion with the Third Claimant he had committed to provide within two weeks a Loaded Primavera Programme with resources and cashflow, BoQ and Mobilization Plan. {E23}

50. An e-mail from Mr Castela dated 26 May 2016 to the Third Claimant emphasised the need for a detailed final design submission. {D34}

51. By an e-mail dated 26 May 2016 the Third Claimant wrote claiming that "*Structural and MEP designs and calculations are ready*". {D34} Mr Pannell responded on 3 June 2016 in the following terms: {E44}

> *This is all good stuff. But what about the actual design? The plans circulated previously are just the start, and there are a lot of design packs and information to be provided yet. Do you recall the Yotel process document which detailed the deliverables at each stage of the project? (concept, schematic design, detailed design etc). We need to be able to go through a methodical process where each element is ticked off. You mention MEP drawings but one of the*

> *early deliverables to Yotel is an MEP narrative please so that we can ensure the basics of the systems are as per our brand standards before your consultants plough too far into the detail. Great news regarding the mockups, but again, I think Pallavi needs to be brought on board soonest to allow enough time to rework the interiors and get comfortable on what the actual room design is.*

52. By an e-mail dated 2 June 2016 Mr Pannell of Yotel wrote to the Third Claimant requesting a timeline for finalising outstanding matters. {E40}

53. The Third Claimant acknowledges in his 3 June 2016 response that "*it is taking way too long like you mentioned in your previous email.*" {E44}

54. By e-mail dated 5 June 2016 Mr Castela wrote to the Third Claimant noting, *inter alia*, that "*both IFA and Yotel need to see the FULL package for approval, to date we have only seen the architectural set although this is still not finalized as per our latest correspondence – fire stairs and service / passenger lifts. It is important that the full set is coordinated including the ID otherwise we run the risk of having to resubmit again and get another approval if the design changes which is time consuming. Basically we need to be in a position of having a full coordinated set and approved by Yotel so that we don't to make any changes later and the submission to Nakheel and we can get on with the work on site*." {D7}

55. On 9 June 2016 the Third Claimant wrote noting that in fact in relation to structural and MEP drawings only the 'outlines' were ready. {E53}

56. The Respondents' 28 June 2016 letter (to which no response was received) noted as follows: {E59}

> *3. I am very concerned about the extensive delay to date since we signed a contract. We still do not have an approved design and no site activity has started;*
>
> *Let me be very clear both IFA and Yotel are extremely uncomfortable with the quality of the designs … you are currently using to date and we seriously question at this stage the quality of the finished product these consultants will be able to produce. Furthermore we have been kept out of important discussions*

and decisions in the project development which has caused unacceptable delays and frustration.

…

1. IFA and Yotel want to see a fully developed design in sufficient detail that clearly illustrates the design of all spaces and the quality of finishes and equipment you will build. These are not to be concepts as you are submitting at the moment but fully developed detailed designs for:

a. Architecture

b. Structure with narrative clearly defining the systems and type of materials to be used;

c. MEP incl. IT/AV with narrative clearly defining the systems and equipment to be used;

d. Landscape Design with narrative clearly defining the systems, materials, planting and equipment to be used;

e. Interior Design with narrative clearly defining the finishes and materials to be used;

f. All designs are to be coordinated by the lead consultant and consolidated before being sent to IFA and Yotel for review and approval;

2. A detailed project programme, area programme and other deliverables as per Yotel guidelines as previously requested. The programme must show all the design and construction activities from now to completion with clear milestones for approvals, submittals, etc;

3. A list of proposed sub-contractors and suppliers that you propose to use on this project for all activities. All of which will need IFA's prior approval;

4. A list of all materials and equipment to be used on this project with quality benchmarks established…

57. Notably, and by way of concession and acceptance that the matters sought by way of the above letter were reasonably required, the Claimants plead at paragraph 37 of the Reply that the "*matters raised* [in the above letter] *had been resolved by the parties by December 2016"*. {B4-13} In fact, as set out below, the said matters had <u>not</u> been resolved by December 2016, nor January 2018.

58. On 4 July 2016 the Third Claimant wrote to Mr Abel of Yotel claiming that the Claimants had complied with "*Nakheel, Trakees, Yotel, DTCM's 4-star hotel, Dubai Civil Defense and all government guidelines*", and alleged that the "*structural and MEP drawings are completing*". {E64}

59. By e-mail dated 11 July 2016 Mr Castela requested of the Third Claimant "*a programme of works for the whole process with milestones for design, construction, commissioning and handover*". {E67}

60. On 21 August 2016 the Third Claimant sent designs alleging them to be compliant with "*the government departments including Nakheel, Trakhees, DTCM, Dubai Municipality, DEWA, DCD, RTA, Empower, Du, Dubai Police and DCA utilizing our 32 years' experience in hotel construction and developments*" – and that "*Structural and MEP drawings are ready*". {E69}

61. On 14 September 2016 Mr Castela wrote to the Third Claimant stating: {E75}

> *We have requested developed designs for Architecture, Structure, MEP, Landscaping, Interior Design with narratives for our approval, this has nothing to do with submitting to Nakheel or Trakhees. As your partner we have the right to see the developed design and narratives for your proposed finishes and equipment before any approvals are granted or applications are made to the authorities and the site is handed over to you.*

62. On 20 November 2016 the Third Claimant wrote alleging that "*Architectural is all completed as per Yotel's and all of Dubai government approvals*". {E91}

63. The Respondents' 4 January 2018 letter {D2} (to which no formal or substantive response was received) stated that:

63.1. Turfa had failed to perform the fundamental obligation of the DBC to prepare a satisfactory design of the whole of the Works in accordance with the Contract and in line with Balqis' requirements.

63.2. The design documentation lacked the required technical detail and sophistication to be considered suitable for the Project.

63.3. Turfa had provided the documentation in a piecemeal fashion with no coordination between the various phases and disciplines, which had resulted in incomplete designs, which were not "*fit for purpose*" in accordance with, inter alia, Clause 4.1 (b) of the Contract.

64. In accordance with the correspondence between the parties' during the project as set out above, and the parties' agreements, there ought to have been a fully detailed, compliant design. In fact, the Claimants' failure in this regard is accepted on the face of the Claimants' own expert evidence in this arbitration – *inter alia*:

64.1. Mr Smith observes that "*the PRED design was non-compliant with the requirements*" (Supplementary Report, para. 2.4.1). {D79-7}

64.2. Mr Smith comments that: "*Despite this, I would agree with Mr Philips* [sic]*, that if there were no other changes, then the amendment of the design from the SPP 2015 design to increase the room number to 300 should not have taken up to one year*" (Supplementary Report, para. 5.6.9). {D79-26}

64.3. Paragraph 7.4.1: "*In my opinion, the PRED design was non-compliant with the requirements as highlighted in C-AS-1/[Table 5 to Table 7]. In my opinion, these non-compliances would have resulted in the design being rejected and/or no objection certificates being refused. However, in my opinion these could have been resolved*" (Supplementary Report). {D79-29}

64.4. Mr Smith similarly confirms by way of his 5 January 2026 letter {E141} the extent to which the design had been progressed was extremely limited:

> *The design for the ID, Landscaping, MEP and structure can only be defined as concept designs. The MEP report contains no drawings, the*

structural report contains six images used to describe the structural solution, it also refers to options for the stability of the structure. The architectural scheme does not appear to reflect any of the structural solutions, it does not appear to show the location of columns or other structural elements.

As a total design package for RIBA Stage 2 which I have assumed would have been required for a preliminary design submission to Nakheel, I agree with Mr Healey that the design is partially complete. On the basis that 3 out of the 5 design packages include drawings I would also agree with his assessment of it being approximately 60% complete.

As a total design package for RIBA Stage 3, which I have assumed would have been required for a detailed design submission to Nakheel, in my opinion the overall design is incomplete. Mr Healey's opinion is that it is 20% complete. In my opinion this is generous, the total package lacks sufficient information to show the design has been "spatially coordinated". I would suggest a completeness of 15%. This is based upon an architectural design being complete, but not co-ordinated with other disciplines.

65. The overwhelming <u>common ground</u> as to the extent to which the design was <u>not compliant</u> with IFA/Yotel/Balqis standards can be seen from the architectural Joint Statement. {D144}

66. The <u>limited extent to which the design had been progressed is likewise uncontentious</u> in light of the above Joint Statement:

> *5.11: We agree that the AAEC design was at D&B Contract design stage 1 – Concept Design (RIBA Stage 2) at the point of termination. We agree that the AAEC design was incomplete and the full list of deliverables was not met.* {D144-19}

OVERALL COMPLETENESS PERCENTAGE RIBA STAGE WEIGHTING				
	RIBA weighting	**Mr Phillips** (Assessment 4)- RIBA % Stage weighted)	**Mr Healey** (RIBA % Stage weighted)	**Mr Smith** (RIBA % Stage weighted)
D&B Stage 1: Concept Design (RIBA Stage 2)	17.5%	11.8%	11%	10.5%
D&B Stage 2: Schematic Design (RIBA Stage 3)	17.5%	4.1%	4%	2.6%
D&B Stage 3: Detailed Design (RIBA Stage 4)	35%	1.6%	not assessed	not assessed
D&B Stage 4: Construction (RIBA Stage 5)	30%	Nominal allowance .8%	not assessed	not assessed
Total	**100%**	**18.2%**	**14.5%**	**13.1%**

{D146}

67. The Claimants' own expert's above critiques and acceptance as to the compliance/status of the design are particularly damning in circumstances where the parties' agreements not only contemplated design compliance, but that completion of the whole project (design and construction) was to take place within 18 months, with mobilization to occur within 30 days.

68. Given the obligations they had assumed under the DBC, and in order to avoid the conclusion that they were in serious breach of obligation, in its Statement of Case the Claimants sought to establish that they had:

68.1. Between 2015 and 2017 prepared "*fully coordinated architectural, structural, MEP, landscape, and interior design packages, tailored to meet the operational standards of the Yotel brand and aligned with local authority requirements*" (paragraph 5.1(a)). {B2-17}

68.2. Submitted "*detailed project programmes, construction schedules, and compliance matrices, demonstrating the Claimant's readiness to proceed with mobilization and site execution in accordance with the envisioned project timeline*" (paragraph 5.1(c)). {B2-17}

68.3. "[D]*eveloped, submitted, and coordinated full architectural, structural, MEP, landscape, and interior design packages. All designs were (i) Fully detailed, not* *conceptual; (ii) Compliant with Trakhees, Nakheel, DCD, DEWA and DTCM standards; (iii) Ready for PDA as early as mid-2016*" (paragraph 5.4). {B2-18}

68.4. Provided "*detailed construction resource schedules outlining labour deployment, equipment mobilization, and project phasing strategies*" (paragraph 5.7). {B2-18}

68.5. Prior to the Notice to Correct "*completed and submitted comprehensive architectural, structural, MEP, and landscape design packages, all developed in strict compliance with the applicable contractual framework and approved in principle by all relevant authorities*" (paragraph 10.1(i)). {B2-39}

69. However, in light of the Claimants' own architectural expert evidence, and agreements reached between the architectural experts, such above contentions are simply no longer sustainable – or, indeed, even arguable.

70. The Claimants' own evidence confirms the Claimants' failure to have properly progressed the design, both in terms of its comprehensiveness, and compliance. The Claimants' ongoing plea at paragraph 31.13 of its Reply that it had "*produced and delivered by December 2016 a competent and compliant design ... integrating structural and spatial adjustments*" {B4-12} is contradicted by the Claimants' own evidence.

71. Likewise, and contrary to the Claimants' claim at paragraph 40.2.1 of the Reply {B4-15}, there was no "*complete architectural design*".

72. The agreed significant extent to which the design was incomplete, and non-compliances in the design, speaks for itself so far as the Second Claimant's breach is concerned. However, it is also consistent with the Claimants' lack of programming / planning:

72.1. This is apparent from the Claimants' response to the Respondents' 11th Request to Produce Documents, whereby (along the lines of the Respondents' requests during the project) the Claimants agreed to provide "*All schedules of design deliverables, design programmes, authority submission schedules, tracking schedules and/or resource schedules*". {A2-51}

72.2. In fact, in response to the above request the Claimants only disclosed original contractual schedules, plus a list of manufacturers, as set out in Appendix 2 to this

Opening. This makes clear that the Respondents' repeated, reasonable, requests during the project for programmes (as set out in the above chronology in this Section of the Opening) went unanswered and unaddressed.

72.3. In such circumstances, the significant extent to which the design was incomplete (as agreed by the architectural experts) is unsurprising; whilst not necessary in order to establish the validity of the Respondents' termination, the Sole Arbitrator can also safely conclude that there was no prospect of the Claimants rectifying the situation in any reasonable timeframe given their lack of planning/programming.

E. THE CLAIMANTS' FAILURE TO COMPLY WITH THEIR OBLIGATIONS REGARDING FUNDING

The relevant obligations

73. The parties' agreements required, *inter alia*, the First Claimant to have access to sufficient funding to procure the completion of the works without having to rely on receipt of the funds from sale (EOA, Clause 3.2). {D5-4}

Breach of obligation(s)

74. On 21 February 2016 Mr Palmer wrote to the Third Claimant requesting confirmation of "*sufficient funds in the bank and in the pipeline to complete this project "worth" AED150m. I note that you mentioned when we visited your bank manager last week a completed and unencumbered project in Oman worth AED60m and other properties and that there are other receivables owing to you to come into your group shortly.*" {E20}

75. By e-mail dated 17 September 2016 Mr Palmer e-mailed the Third Claimant as follows: {E80}

> *I am dropping you a note to remind you that we are still waiting for the financial information you were getting together for Numan and I to evidence how you were going to fund the development costs of Yotel which we are deeming to be AED150m. We need to know what cash you have on hand, and also what other proceeds will be available from sale of assets/ and other sources of funds to be generated through to the end of the development period.*
>
> *You can be assured this information will not be shared with Antonio and his development team.*
>
> *Thanking you in anticipation. This information is urgently required.*

76. The Third Claimant responded as follows on 19 September 2016: "*I am collecting those documents for you with my bankers and financial advisors in a way to maintain confidentiality as we discussed since I had negative experiences before. As mentioned we will self-finance Yotel as we have not and will not request any working capital finance*

from any bank or financial institution. I keep our assets mostly as properties since I don't prefer keeping abundant of extra cash because of the low bank interest rates vs the country's inflation rates." {E81}

77. The Respondents' 4 January 2018 letter {D2} (to which no formal or substantive response was received) stated that:

    77.1. Balqis did not believe that Turfa and/or PRED had the funding and/or capital required to meet the financial costs of completing the Works in accordance with the Contract.

    77.2. The Project had an assumed value of AED 150,000,000 and the Respondents believed that Turfa and/or PRED would not be able satisfy the financial and capital requirements of the Project.

    77.3. Turfa and/or PRED were requested to provide clear evidence of cash and/or an available line of credit to confirm Turfa and/or PRED's ability to satisfy the financial and capital requirements of the Project.

78. In its response to the Respondents' request to produce documents, the Claimants stated as follows: "*The Claimants have already produced financial documents evidencing their liquidity and funding capacity during the relevant period. Annexures C-17, C-18, and C-32 collectively demonstrate available funds exceeding AED 20 million, which were earmarked for the YOTEL Project in line with the Claimants' intention to self-finance the development. These documents further confirm the reservation of project funds since inception*". {A2-48}

79. The Claimants' reliance at paragraph 26.3 of the Reply {B4-8} on funding through receipt of "*sales proceeds*" is directly contrary to Clause 3.2 of the EOA {D5-4} and establishes in and of itself the Claimants' failures to comply with the agreements so far as funding is concerned.

80. Neither is there any wording of limitation in the parties' agreements that restricts the funding required "*to enable phased performance*".

81. The sum of AED 20 million relied on by the Claimants is inadequate even on its face to have met the First Claimant's obligations, but, in any event:

81.1. The Respondents were not provided with such alleged proof of funding prior to termination;

81.2. The Reply makes clear at paragraph 26.3 {B4-8} that such funding as the Claimants allege was available was to be found in "*group entities*";

81.3. However, there was no agreed derogation from the clear contractual requirement that would make it acceptable for the funds to be allegedly available within 'group entities', rather than within the First Claimant's own funds;

81.4. The Sole Arbitrator is respectfully referred to Annexure 2 of the quantum experts' Joint Statement {D149}, which highlights the extent to which even the limited funds the Claimants have sought to belatedly evidence are <u>not</u> funds of the First Claimant.

82. The Claimants' late application dated 10 March 2026 {B7} to issue a witness summons directed to Mr Palmer is also highly significant:

82.1. At paragraph 10.2.1 of the said application, the Claimants indicated in express terms that "*Mr. James* [Palmer] *is the only senior IFA official who can testify that IFA had previously verified the Claimants' liquidity and creditworthiness*". {B7-4}

82.2. The Claimants' application proceeds to make clear at paragraph 10.2.2 {B7-4} that the above relates to Mr Palmer accompanying Mr Alhabshi to the Third Claimant's bank around 21 February 2016.

82.3. The Claimants relied at paragraph 10.2.2 of its application {B7-4} on this meeting demonstrating that "*the Respondents had already verified and accepted the Claimants' financial position prior to the execution of the contract*".

82.4. The above is consistent also with the Claimants' position in its Statement of Case that during the said visit "*the Claimant's financial readiness and access to committed funds were confirmed and acknowledged*" (para. 6.9). {B2-23}

82.5. However, the 21 February 2016 e-mail {E20} relied on by the Claimants (as quoted at paragraph 74, above, of this Opening) does not even on its face indicate what the Claimants suggest that it does:

82.5.1. The Claimants in the Application state that the e-mail confirms that Mr Palmer had verified by way of a visit to the Third Claimant's bank manager that the Claimants had access to a "*completed and unencumbered project in Oman worth AED 60 million*".

82.5.2. The e-mail is in fact to the opposite effect to that contended by the Claimants.

82.5.3. Even <u>after</u> the meeting with the Third Claimant's bank manager, Mr Palmer is still making a request for information, including confirmation as to sufficient funds to complete an AED 150m project.

82.5.4. The e-mail indicates that the Third Claimant had "*mentioned*" a project worth AED 60m, <u>not</u> that Mr Palmer had "*verified*" the same (as the Application suggests).

82.5.5. Mr Palmer's request by way of the e-mail is indicative of him <u>not</u> having verified the position, and was therefore seeking information by way of confirmation of the position.

83. The Sole Arbitrator can properly conclude from the Claimants' response to the Respondents' request to produce documents quoted at paragraph 78, above, that the Claimants' conceded high point of its position is that it had access to AED 20m in funding:

83.1. In this context, Mr Alhabshi's reference at paragraph 25 of his second statement {C4-6} to access to AED 41m in liquid funds is not understood – and in any event on the basis of Mr Thorpe's comments at Annexure 2 to the quantum experts' Joint Statement {D149} can be rejected as unevidenced.

83.2. Mr Alhabshi's following comment at paragraph 26 of his second statement {C4-7} further underscores the Claimants' breach of obligations:

> *... our construction estimate for the YOTEL Palm Project was approximately AED 78 million inclusive of contingencies. We had*

already earmarked AED 42 million in the Claimants' bank account for the Project. In my professional assessment, the Claimants were fully capable of building the Project within this cost structure.

83.3. On the basis of the Claimants' response to the Respondents' request to produce documents (Item 7 at {A2-48}) it appears to be accepted that even on the Claimants' best case they cannot in fact evidence more than AED 20m (albeit such evidence was not provided to the Respondents at the time, and is in group entities).

83.4. But of course neither AED 20m, nor AED 42m, comprises access to sufficient funding to procure the completion of Mr Alhabshi's own assessment of the works at AED 78m as set out above in his second statement, let alone the AED 150m required by the DBC.

83.5. Worse still for the Claimants, the AED 78m which Mr Alhabshi asserts in his statement he would have been able to fund is nowhere close to the AED 127.4m the Claimants' own expert indicates the works would have cost (Annexure 1 to the quantum experts' Joint Statement). {D148}

83.6. Even on the basis of the Claimants' own quantum expert's view as to the construction costs, and even taking Mr Alhabshi's evidence at face value, the Sole Arbitrator would be driven to conclude that the Claimants did not have access to the necessary funding for the works.

83.7. This not only supports the validity of the Respondents' termination, but also confirms that the Claimants would not have been able to complete the project and achieve the anticipated profits.

F. INTELLECTUAL PROPERTY

84. For the reasons set out below, little needs to be said regarding the allegations as to intellectual property infringement.

85. As per the position set out in the Respondents' Defence and Counterclaim:

    85.1. Under the DBC, all design rights vest in Balqis, and there has been no waiver thereof.

    85.2. The Claimants' work was not in fact copied (Mr Phillips' evidence refers: see paragraphs 4.8.5-7 of his first report {D53-65}), and, moreover, the scheme was abandoned.

86. In any event, and determinatively:

    86.1. This Sole Arbitrator only has jurisdiction to determine a claim under the EOA, namely pursuant to Clauses 3.5 or 3.6 thereof. There is no jurisdiction to make any award in respect of alleged intellectual property infringement.

    86.2. No relief is now sought by the Claimants in relation to alleged intellectual property infringement: see paragraph 77 of the Reply {B4-24} – no doubt since the Claimants' own quantum expert is unsupportive of the claim. At page 27 of Mr Saxena's report he comments clearly as follows: "*Since the design produced by the Claimant was never implemented, the Respondent did not obtain any actual enrichment from the Claimant's design work. Accordingly, my assessment of unjust enrichment attributable to the Claimant's design is nil*". {D85-27}

G. QUANTUM

<u>EOA Clauses 3.4-3.5 calculation</u>

87. As foreshadowed at the start of this Opening submission, the Respondents' position is that the correct financial Award for the Sole Arbitrator to make is in accordance with EOA Clauses 3.4-3.5 {D5-5}, following a determination that the EOA had been validly terminated under the said provisions.

88. Based on Dr Malas' opinion, there is no Earned Value to the design work carried out by the Claimants since the drawings were not fit for purpose, did not meet the required standards, failed to obtain authorities' approvals and did not satisfy the Hotel Brand requirements (see quantum experts' Joint Statement, page 6). {D147-7}

89. Moreover, in light of the liquidated damages due to Balqis, and sums due to NEB (the architect engaged to rectify the Claimants' design), there is a sum of AED 16,781,250 <u>due to the Respondents</u> under the EOA:

    89.1. As set out at paragraph 48, above, in circumstances where Schedule 9 of the DBC required completion within 18 months, as of termination liquidated damages had accrued in the capped amount of AED 15,000,000. The EOA definition of 'Construction Contract Deductions', which expressly forms part of the Clause 3.5 {D5-5} calculation, makes clear that they include Delay Liquidated Damages.

    89.2. The sum of AED 1,781,250 due to NEB falls to be deducted in line with Clause 15.4 of the DBC {D6-80} (also expressly incorporated by way of Clause 3.5 {D5-5}): this is a cost arising to Balqis arising out of the termination in line with the wording at the said Clause 15.4.

90. Mr Saxena's challenge to the Counterclaim is that the NEB redesign "*was not compelled by regulatory requirements nor by any technical necessity*" (page 30). {D85-30} This is of course not for Mr Saxena to say as a quantum expert, and is in any event flatly contradicted by the not only the multiple architectural expert reports in these proceedings, Mr Smith's letter of 6 January 2026 and the architectural experts' Joint

Statement discussed earlier in this Opening in Section D (page 18) regarding the Claimants' breach(es) of design obligation.

91. In relation to the Earned Value of the Claimants' work, in the alternative to the position set out at paragraph 88, above, based on Dr Malas' opinion, the Respondents respectfully adopt what is effectively now an agreed position between the architectural experts:

91.1. On the basis of the architectural experts' Joint Statement (see Item 5.14 {D144-20} and Appendix B) {D146} there is effectively agreement between the experts that a 18.2% design completion figure is appropriate.

91.2. The Sole Arbitrator will note the scrupulously independent and fair approach from the Respondents, and their expert, whose figure is more generous to the Claimants than the Claimants' own architectural expert's figures – something acknowledged by the Claimants' architectural expert at Item 5.14 of the Joint Statement. {D144-20}

91.3. As set out at paragraph 2.2.15 {D118-11} of the Respondents' quantum experts' report, adopting the 18.2% completion figure using RIBA weighting gives rise to an Earned Value in principle of AED 819,000.

91.4. However, even adopting the above figure of AED 819,000 (as opposed to the zero figure based on Dr Malas' opinion) it would still be necessary, in line with the calculation required by Clause 3.5 {D5-5} of the EOA, to deduct liquidated damages due to Balqis, and sums due to NEB (as per paragraph 89, above).

92. Finally (and even if, contrary to the above, there were in principle a figure of AED 819,000 due to the Claimants), there could not in any event be a sum properly payable to the Claimants under Clause 3.5 {D5-5} given that the project was not in fact completed, and there are therefore no 'sale proceeds' within the terms of the said Clause 3.5.

<u>EOA Clauses 3.6-3.7 calculation</u>

93. There is no legal basis for the assertion at paragraph 68 of the Reply that the 'prevention principle' is such that milestones can be deemed achieved and the Respondents are

supposedly "*disentitled from relying on valuation caps or contractual limitation mechanisms that apply only in the case of a valid contractual termination*". {B4-22}

94. Directly contrary to the Claimants' above assertion, the EOA in the present case makes a clear distinction between the situation that applies in the event of a valid contractual termination (per Clauses 3.4-3.5) and the situation that applies in any other event (per Clauses 3.6-3.7): clause 3.6 of the EOA expressly applies in circumstances where the DBC is terminated "*for any reason other than as provided in Clause 3.4*". {D5-5}

95. The Claimants' submissions to date are conspicuous for their silence in relation to Clauses 3.6-3.7 – the said submissions read as if the said clauses, central to this arbitration, have been overlooked, or do not exist.

96. In line with Dr Malas' view that there is no Earned Value given the status of the design, the relevant calculation under Clauses 3.6-3.7 would be zero.

97. In any event, the calculation under Clauses 3.6-3.7 is based on a "*share of any profit based on the net sale price of the Project*", to be paid from proceeds from the sale. In circumstances where the Project was not progressed or sold, there can be no payment due under the said clauses.

98. In the alternative, although not accepted by the Respondents for the reasons set out above, the relevant calculations would be as shown at paragraph 2.3.7 of Mr Thorpe's report: {D118-16}

    98.1. Taking the now agreed approach to the percentage of works completed (18.2%, as described at paragraph 91, above), and net sale proceeds of AED 500m, there would (subject to the liquidated damages deduction: see below) be a sum due to the Claimants of AED 1,324,000.

    98.2. The calculation leading to the above AED 1,324,000 is as set out in Appendix 1 to this Opening, adopting the methodology set out at paragraph 2.3.7 of Mr Thorpe's report.

    98.3. As Mr Thorpe indicates at paragraphs 2.3.16-18 of his report, it is appropriate to assume sale proceeds of AED 500m set out in the EOA, as opposed to AED 600m, given the decline in the Dubai marker in the relevant period (as accepted by Mr Saxena at page 25 of his report). {D85-25}

99. Given the express reference within Clause 3.6 to Construction Contract Deductions, the AED 15,000,000 of liquidated damages falls to be deducted, as per paragraph 89.1, above. Once again, no sum would be due to the Claimants and, instead, there would be a substantial balance due to the Respondents.

Unjust enrichment

100. The Claimants maintain an 'unjust enrichment' claim for AED 37,800,000 at paragraph 77(iii)(c) of the Reply {B4-25} (the alleged 'holding interest costs' referenced at Item 12 of the quantum experts' Joint Statement {D147-17} does not form part of the updated Reliefs set out in the Reply).

101. This claim is inconsistent with the provisions of the EOA which govern sums recoverable in the event of termination, and can therefore be readily dismissed.

102. In any event, the Claimants have not established any legal basis for such a claim.

103. At paragraph 13.6 of the Statement of Case {B2-49}, the Claimants articulate their claim for unjust enrichment based on the Respondents allegedly having "*retained the Claimants' work product, design submissions, and project gains after wrongful termination*". However, in line with paragraph 86.2, above, of this Opening, such a claim is no longer maintained by the Claimants.

104. Albeit that the Reply is not the place to do so, the Claimants attempt to fundamentally alter the underpinnings of their claim for unjust enrichment therein, now stating (at paragraph 62) that the basis of the claim is the Respondents' "*leveraging the Claimants' position under the Earn-Out Agreement and consent to assignment*". [B4-21}

105. Mr Saxena's supposed assessment of unjust enrichment is based on the "*financial advantage* [derived] *from the Claimant's position under the Earn-Out Agreement and*

from Mr Ayad Alhabshi's consent to assignment of Earn out Agreement" (page 27). {D85-27}

106. There is no legal basis, and none is articulated by the Claimants, as to why the benefit from entry into a contract itself should be compensable. It is <u>by definition not unjust</u> since the parties have agreed to the terms of the said contract – any enrichment by dint of that contract cannot by viewed as unjust.

107. Additionally, any assignment of rights as referred to by the Claimants is to the assignment of the Respondents' rights to the Lenders in the event that there was an event of default, as is standard practice in loan agreements. All the Claimants did (if they did anything at all) was confirm their express agreement to the same.

108. Moreover, as the Respondents' quantum experts identify, there is no basis for Mr Saxena's assertions that the Respondents derived a benefit in the manner alleged by way of increased borrowing capacity:

108.1. The Sole Arbitrator is respectfully referred to Section 3.1 of the Respondents' quantum experts' report in full. {D118-21}

108.2. Indeed, as of the quantum experts' Joint Statement, Mr Saxena's analysis appears to be based on the alleged timing of a 2016 loan extension being such that the EOA "*contributed to sustaining this* [AED 210m] *loan facility*". {D147-16} This assertion is not evidenced.

108.3. In any event, whether or not the entry into the EOA did or did not impact on the loan extension does not remotely form the basis for a claim that the Claimants are somehow entitled to half of all the alleged profit made over course of two years (page 2). {D85-28}

108.4. The Respondents await sight of whether this claim is seriously pursued by the Claimants in Opening.

<u>Prolongation</u>

109. The Claimants maintain a claim for AED 18,481,500 by way of alleged prolongation costs at paragraph 77(iii)(b) of the Reply. {B4-24}

110. Mr Saxena makes clear in express terms that he is articulating a supposed claim "*Under the Design & Build Contract*". {D85-28} The Sole Arbitrator does not have jurisdiction in relation to any such claim for prolongation under the DBC.

111. In any event, it is an entirely speculative claim, unsupported by any evidence or analysis. The Respondents again await sight of whether this claim is seriously pursued by the Claimants in Opening, and in the meantime comment briefly as below.

112. Mr Saxena alleges that based on his "*observations of the factual position Turfa remained on standby for 333 as a direct result of delays attributable to the Respondent*" and "*was unable to undertake alternative projects*" (page 2). {D85-28}

113. As the SCL Protocol quoted by Mr Duggan {D118-27} makes clear, before one can even consider using a formula as Mr Saxena does, a contractor must first evidence that it has turned down other opportunities on the basis that it had personnel tied up on the prolonged project in question.

114. In the present case, not only is there no basis for the Sole Arbitrator to conclude that Turfa was on standby for 333 days as a result of matters for which the Respondents are responsible, but the Claimants have not even attempted to adduce a single piece of evidence to show that the Claimants' personnel were tied up and/or that it turned down any other work whatsoever.

115. The Sole Arbitrator is referred to Section 4.1 of the Respondents' quantum experts' report {D118-25} which confirms the absence of any evidential underpinning to this claim – and also that the profit percentage upon which Mr Saxena's calculation is based is wholly unreliable. The parties' respective positions in this regard are further summarised at Annexure 1 to the quantum experts' Joint Statement. {D148}

Loss of profit

116. At paragraph 77(iii)(a) of the Reply {B4-24} the Claimants maintain a claim for AED 150,000,000 in respect of alleged lost profits under the EOA.

117. Paragraph 59 of the Reply {B4-20} indicates that the Claimants supposedly rely on the 'prevention principle' as precluding "*termination reliance*" on delays that the Respondents allegedly caused.

118. Putting aside that there is no basis for such an above contention, it would not give rise to a loss of profit claim, as opposed to simply leading the Sole Arbitrator to conclude that the termination was not valid, and that the correct calculation to perform is under Clauses 3.6-3.7 {D5-5} (rather than Clauses 3.4-3.5). {D5-5}

119. In any event, it is denied that the Claimants would have earned AED 150m:

119.1. In accordance with the matters set out above in this Opening, the Claimants were not performing and would not have fulfilled their obligations and completed the project in accordance with the parties' agreements.

119.2. It is clear from Mr Saxena's comments at Item 8 of the quantum experts' Joint Statement {D147-13} that he has not conducted any analysis whatsoever in order to reach an assessment of an alleged loss of AED 150m: he alleges that his analysis is "*based on the provisions made in EO Agreement and does not require any financial model, formula, or probability assessment*". His assessment of lost profit is, self-admittedly, not rooted in any evidence as to what did or would in fact have occurred.

119.3. Mr Saxena is operating on the basis that the EOA provided an agreed/liquidated figure of AED 150m: however, the Sole Arbitrator will be aware this is not the case and that the calculation contemplated by the EOA is dictated by Clauses 3.6-3.7 {D5-5} (assuming, contrary to the Respondents' primary case, the termination of the EOA were found to be invalid).

H. CONCLUSION AND RELIEF SOUGHT

120. For all the reasons set out above, the Respondents submit that the Claimants' claims fail in all aspects and fall to be dismissed.

121. The Respondents respectfully invite the Tribunal to dismiss the Claims in their entirety, order the Claimants to pay the Respondents' counterclaims in full (in the sum of AED 16,781,250, representing the accrued liquidated damages, plus sums due to NEB), and to order the Claimants to pay the Respondents' costs of these proceedings (inclusive, for the avoidance of doubt, of all legal, expert, Tribunal and DIAC costs), together with interest from the date on which payment falls due until receipt of payment (as pleaded at Sections F and G of the Defence).

Respectfully submitted,

MARC LIXENBERG
ATKIN CHAMBERS

AL TAMIMI AND COMPANY
COUNSEL FOR RESPONDENTS

4 May 2026